JAPANESE CHAMBER OF COMMERCE & INDUSTRY IN VIETNAM
POSITION PAPER AT THE ANNUAL VIETNAM BUSINESS FORUM 2019

I would like to propose from the JCCI five agendas that the Government of Viet Nam should prioritize to improve the investment environment. ("Priority Agendas")

1. Environmental Protection

In Viet Nam, which is aiming for further growth in the future, deterioration of the environment due to air pollution and the treatment of industrial waste is concerned. Such environmental pollution can lead to health hazards for the Vietnamese nation. It may also affect foreign interest, for example, a decrease in investments from foreign companies. Thus, to improve the environment, it is essential to strengthen government-initiated regulations and raise the Vietnamese nation's attention to its environment.

In September 2019, Hanoi City showed the worst value in the "Air Quality Index" (AQI), followed by Ho Chi Minh City, the third. In urban areas, exhaust gases from motorcycles and automobiles pollute the air, while in rural areas the effects of post-harvest burning. It is estimated that this air pollution causes a loss of 5% of GDP in Vietnam, which is a severe social and economic problem. Water pollution is also a serious problem, with drainage from industrial complexes and households giving rise to pollutant concentrations several times higher than the national standard for most urban rivers.

To counter these environmental problems in Viet Nam, we should learn from Japanese cases, one of which was called the "Polluted Islands." From the 1960s to the 1970s, environmental pollution was a serious problem in Japan during the high growth period. It was serious enough to be described in a report from the Organization for Economic Co-operation and Development (OECD) as "Japan in the 1960s is one of the most polluted countries". Due to air pollution, it has developed into national health hazards such as asthma. In 1973, about 46% of the cities met the environmental standards for air pollution. At that time, Japan was growing at an annual rate of approximately 8%, like Viet Nam today. It was a result of giving excessive priority to economic development without considering environmental countermeasures.

When pollution (air pollution, water pollution, soil pollution, noise, vibration, land subsidence, offensive odor, etc.) became a social problem, the government of Japan restrained the backlash of the economic world by revising the "Environmental Pollution Prevention Act" in 1970. Until then, the government had been reluctant to adopt strict environmental standards because of the adverse impact it might have on the economy. However, the government removed the clause stating "Harmonization of Pollution Prevention with Economic Development" from this law and revised the national policy from industrial priority to the Japanese nation's health priority. This law led to the establishment of guidelines for environmental measures and specialized departments, which the government supported them with tax incentives and low-interest rate loans. As a result, pollution was reduced significantly in a short period. By 1982, 99% of cities cleared the standard of air pollution.

The Government of Viet Nam has been committed to environmental protection through various measures such as the Environment Protection Law (Law55/2014/QH13). In order to continuously improve the environment that is deteriorating in the face of rapid economic growth, it is necessary

to set clear regulations such as "health priority over industry" (although the "Environment Protection Law" stipulates "harmony between environmental protection and economic growth" as one of the principles of environmental protection (Article 4, Paragraph 2 of the Law), but it should be noted that economic growth and environmental protection are difficult to be harmonized). It is necessary to implement and strengthen scientific, rational, and effective regulations, as well as to promote the implementation of the latest environmental protection technologies to meet such regulations.

The development of laws and regulations on a building design, construction materials, ventilation methods, and national evaluation standards, the quality of air in closed spaces such as homes, schools, and offices that spend most of the day can be improved. This improvement of Indoor Air Quality (IAQ) will lead to reduce human health damage. Although the Ministry of Construction has already commissioned the VACEE (Vietnam Association of Civil Engineering Environment) to develop the standardization, we strongly suggest further acceleration of this effort. In addition, we believe that regulation to force the standardized content will be necessary in order to rapidly improve air quality. Japanese companies are willing to cooperate so that the legislation will be effective.

Concerns can be understood that regulations may hinder the process of economic growth, but if the environmental issue is left as it is, adverse effects such as the reluctance of foreign companies making new investments will become apparent. Japanese companies are prepared to utilize their past experiences to provide Viet Nam with technical assistance and know-how to improve the environment. Therefore, to counter this problem, Japanese companies would like to provide full cooperation for the sustainable economic growth of Viet Nam.

Vietnam will acquire an understanding, empathy, respect and support from other countries and foreign companies by exploring ways to achieve economic growth with utmost environmental considerations with referring to examples of countries that have succeeded in achieving both industrialization and environmental protection. This eventually leads to increase foreign investment and accelerate growth in Vietnam, and serves as a model for other developing countries. This would be the unique growth strategy of Vietnam.

2. PPP (Public-Private-Partnership) Law

Since the VBF Midterm Meeting in June this year, the JCCI has been working closely with the Ministry of Planning and Investment on the draft article of the PPP Law by providing the opinions of Japanese governmental agencies, private enterprises, and lenders. Thank you again.

Currently, the shortage of power, roads, airports, and hospitals are also becoming a more serious problem in Viet Nam. While these issues can be a factor to keep drive foreign investors away from activities in your country, we believe that the active implementation of PPP schemes will be useful to promote infrastructure development for solving these issues. Moreover, as described in Resolution 50-NQ/TW (2019), the implementation of PPPs further encourages investments from foreign companies in Viet Nam.

However, for foreign companies, including Japanese companies, to participate in the PPP project in Viet Nam, it is important to clarify the risk-sharing among the Government of Viet Nam, investors, and financial institutions so that there are no unreasonable risks to investors and financial institutions. Unless this point is being clarified, even if the PPP law is established in Viet Nam, it will be difficult for foreign companies to participate in PPP projects.

Following, it overlaps with our remarks in the previous session in June this year, but we would still like to repeat the following four requests to the Government of Viet Nam for consideration.

- Governing Law: There is no objection to setting the Vietnamese law as a principle to promote projects. However, obtaining agreement between the parties and the adoption of foreign law would depend on each project.
- Government Guarantee: Government guarantees are provided to avoid undue risk burden on private enterprises, such as the provision of foreign currency guarantees to the extent required for the implementation of PPPs, including debt repayment.
- State Capital Contribution: Develop a mechanism to ensure that government funding is more reliable and flexible.
- Termination Payment: Early termination of PPP would be permitted if authorized government agencies, contract signers, investors, and project entities are significantly affected by ineligibility. The project can be then purchased by the Government of Viet Nam.

Through the improvement of the above four points and the enactment of the PPP bill, it is expected that Japanese companies will drive infrastructure development and economic growth in Viet Nam.

3. Construction of Global Value Chain

With economic development and expansion of domestic demand in Viet Nam, Viet Nam is attracting attention as a global manufacturing base. Establishments of new manufacturing plants and factory relocation of foreign enterprises, including Japanese companies from China, are observed in Viet Nam. To enhance the attraction of overseas manufacturing bases and make developments in the manufacturing field sustainable, it is vital to foster and develop Vietnamese enterprises in the Global Value Chain.
For foreign companies with manufacturing bases in Viet Nam, including Japanese companies, it is expected that nurturing Viet Nam companies participating in Global Value Chain will lead to lower manufacturing costs, mainly by the procurement of components. In Resolution 50-NQ/TW (2019), the Government of Viet Nam has set a target of raising the local procurement rate (Localization Rate) from 20-25% to 30% by 2025 and 40% by 2030 and, promote industrial development. To achieve this goal, we would like to propose the following two points.

- The current Vietnamese government's assistance focuses on Vietnamese companies that deliver parts and products to foreign companies rather than foreign companies that have manufacturing bases in Viet Nam. Therefore, we would like the Government of Viet Nam to consider measures such as giving incentives to foreign companies when they achieve high local procurement rates. This could potentially encourage foreign enterprises to support Vietnamese enterprises more frequently.

- With the application process of the government subsidy system being complicated and time-consuming, the implementation of support measures for Viet Nam companies should have simplified procedures from the central and local governments. Hence, we would like the Government of Viet Nam to correct this issue as soon as possible. Examples related to the subsidy programs are: Subsidies for human resource development in small and medium-sized enterprises stipulated in the Decree39/2018/ND-CP, exemption for company license application fee, and providing assistance for the Supporting Industry Development Center based on the determination of supporting industry assistance measures by 2020 promulgated by the Ho Chi Minh City People's Committee (15/2017 / QD-UBND).

The participation of Viet Nam companies in Global Value Chain is expected to not only attract more manufacturing bases in Viet Nam but also establish the core industries with international

competitiveness. With the intention of further development in the manufacturing industry in Viet Nam, we are requesting support from the Viet Nam Government. This will lead to strengthened collaboration between Viet Nam companies and overseas companies including Japanese companies.

4. Human Resource Development

To maintain the current economic growth of Viet Nam, it is urgent to train engineers to promote industrialization and IT in the domestic market. Viet Nam is facing a shortage of engineers due to the entry of foreign companies and an increased number of companies in the manufacturing sector. The objective of Resolution 50-NQ/TW is to increase the percentage of engineers in the total workforce to 80% by 2030. To achieve this, educational support to increase engineers in Viet Nam is needed. In Japan, numerous Vietnamese work as technical interns or highly skilled professionals. However, there are situations whereby employees are being forced into a poor working environment. Hence, the Government of Viet Nam needs to build an appropriate labor force system to enable young people working in Japan to learn skills with a peace of mind. It is desirable to prepare an appropriate working environment so that these experienced employees who have learned in Japan can impart their skills to other Vietnamese engineers.

The demand for Vietnamese engineers working in production lines such as industrial complexes has been increasing yearly, but there are certain aspects of human resource development that has not caught up. The U.S. research firm estimates that only 12 percent of the 57 million labor force population has a high level of skill. Also, in the conventional fields of textile & garment and electronic devices, the development of IT personnel will be essential for promoting a digital society. The Vietnamese government should establish an institution to learn these technologies in the country and promote technical education widely.

There are approximately 300,000 Vietnamese workers and students, including technical interns, international students, and highly skilled professionals in Japan. Among them, there are about 160,000 (majority) technical interns. Since Japan specializes in the industrial sector, this will be an effective system to convey technologies in Viet Nam, but there are many cases whereby workers were placed in a poor working environment or be forced to do jobs that they are unwilling to do. These are problems on top of the existing problems caused by the lack of management system in Japan and the acceptance of interns by Japanese companies as a cheap labor force. Thus, it should be solved by the Japan side, but there are several problems that Viet Nam could do to improve the situation.

One of them is the existence of malicious labor exporters. Labor exporters are required to (1) provide interns with a fair explanation of working conditions, (2) refer them to work based on expertise or their desired course after returning home, (3) collect fees appropriately, and (4) submit various qualifications appropriately. Several exporters did not meet these requirements, resulting in poor working environment for Vietnamese workers and a situation in which they must travel with a large amount of debt. The existence of these illegal exporters is detrimental to young Vietnamese workers who are seriously thinking of acquiring skills in Japan.

Incidents and accidents involving illegal employment of Vietnamese workers are increasing worldwide, not only among technical interns in Japan. The Government of Viet Nam should rigorously identify malicious labor exporters to ensure effective labor mobility and secure work systems abroad.

It is important to improve the working environment for those who have acquired the skills in foreign countries to utilize the experience after returning home. Currently, there are cases whereby

there are no enterprises or organizations in Viet Nam to utilize the skills acquired, after technical interns and highly skilled professionals return home upon completing training and duty in Japan. It is desirable to make use of the skills of trainees in Japan, such as supporting companies that have accepted trainees in Japan to establish a base in Viet Nam, and to secure opportunities to pass on to other Vietnamese engineers.

Along with the issues of the Japan side that accept the labor force, more active personnel exchange between Japan and Viet Nam is necessary to develop a safe system for labor mobilization and a post-return system in Viet Nam.

5. Legal Stability and Investment Incentives

We believe that the Government of Viet Nam already issued incentives to foreign enterprises and investors. To further entice them, including Japanese companies, we would like to request the Government of Viet Nam to develop appropriate laws that operate stably, including incentives.

There are still situations in which the rational interests of foreign companies and investors are not protected in the operation of this legal regulation. The establishment and implementation of regulations still lack legal stability. For example, sudden changes in laws or the implementation of new regulations that cannot be reasonably explained. These are business risks that foreign companies cannot overlook, which can be a reason to hesitate from investing further. If incentives given by the government are retroactively denied by tax authorities and provisions confirming such retrospective denials are repeatedly inserted into the draft investment law, incentives would be ineffective in promoting and attracting investments. The Government of Viet Nam is encouraged to ensure legal stability to achieve an increase in investments from foreign sources.

Regarding taxation incentives, the tax authorities should not retrospectively reject the interpretation of the legal regulation related to investment incentives. At this point, we would like to propose to the Government of Viet Nam to develop a pre-inquiry system so that companies can contact the Government, including tax authorities, for legal regulation inquiries in advance. The introduction of a pre-inquiry system as part of the Administrative Procedure Law corrects and reduces discrepancies in legal regulation interpretations and help to ensure the legal stability of enterprises' business in Viet Nam.

6. Abolition of the 50% reduction in individual income taxes in special economic zones

So far, a 50% reduction in individual income taxes has been granted to enterprises belonging to the special economic zone, mainly the industrial complexes located in Hai Phong. We have been improving the taxes and advancing to the economic special zones on the premise of this taxation incentives. However, the Decree 82/2018/ND-CP, which was issued on May 22, 2018, and was enforced in a short period as of July 2018, abolished the 50% reduction in personal income taxes. The abrupt removal of these tax incentives greatly affected the profit and loss and the funding strategy of the enterprises located in the special economic zone, leading to large disruption to the enterprises. Moreover, the predictability of legal regulation could not be ensured.

It is a big risk in business development for foreign companies and investors that such incentives promised in the past are unilaterally countered by sudden changes in laws and regulations. In the future, when changing incentives, there should be an appropriate transition period. It is also desirable to take into consideration companies that would be disadvantaged by changes in legal regulations.

7. Correction of Guidelines for the Licensing of New EPE

Decree 82/2018/ND-CP has also caused serious obstacles to export-processing companies (Export Processing Enterprises) and new-entry manufacturing industries that have received IRCs since July 2018.

While it takes about one year from the obtainment of the IRC/ERC to the completion of the factory, Decree82 required the whole factory to be fenced and to be equipped with security cameras. If the factory does not wait for confirmation by the customs authorities, it will not be recognized as an EPE. Before the construction of the factory, it is common to start purchasing some raw materials, machinery, equipment, and parts. As a result, it has led to an impediment in company activities as EPE will not be approved until the construction of the factory is done, imports are not approved unless exempt import tariffs and imported VATs are paid. Even if VATs are paid, the situation will still be unstable for the company as it is uncertain whether companies would be refunded after being granted the EPE license. Besides, it is very difficult for export processing enterprises living in rental factories to establish fences in-house, hence, making it extremely difficult for them to deal with these issues. The establishment of new EPEs has ceased in several provinces in the northern region of Viet Nam.

Fences and cameras cannot be installed before the establishment of the company, and prior regulation could suddenly be stricken because of the issue of Decree82 on the provisions that already existed in the past. Also, EPE-licensing would not be issued until after the establishment of the company. These are all outcomes that lack the legal stability of the government.

To increase foreign direct investment, we would like to ask the Government of Viet Nam to issue an Export Processing Enterprise (EPE) license from the beginning of the company establishment and adopt a way to confirm compliance with Decree 82 by a post-audit. Similarly, in the case of a rental factory, we would like to suggest the Government to judge that the requirement is satisfied with the condition that the factory is segregated from other companies by walls.